



TO WHOM IT MAY CONCERN

**LETTER OF INTENT / ADDENDUM TO THE EMPLOYMENT
CONTRACT**

The undersigned:

Coöperatieve Rabobank U.A., established in Amsterdam,
hereafter referred to as “employer”
and

Diego Antonio Grecco Ribeiro
Mr/Ms, born on 09/07/1982
hereafter referred to as “employee”

- a. If and to the extent that the employee is eligible for a tax-free reimbursement for extra-territorial expenses based on Article 10ea of the Dutch Wage Tax Implementation Decree (in Dutch: “Uitvoeringsbesluit loonbelasting 1965”), the agreed upon salary from current employment will be reduced for labour law purposes in such a way that 100/70 of the thus agreed salary for current employment equals the originally agreed salary for current employment.
- b. If and to the extent that part a. is applied, the employee shall receive from the employer a reimbursement for extra-territorial expenses equal to 30/70 of the thus agreed salary for current employment.
- c. The employee and employer are aware of the fact that adjustment of the agreed salary on the basis of part a. may, in view of the applicable regulations, have consequences for all salary-related compensations and benefits (*such as social security benefits*). Application of the 30% tax ruling will not affect the employee’s pension built-up.
- d. The employee and the employer acknowledge that applying the reimbursement for extraterritorial expenses cannot lead to a taxable salary that is lower than what is determined in section 10eb of the Wage Tax Implementation Decree and therefore, that such reimbursement for extraterritorial expenses may be lower than 30/70 of the agreed upon.
- e. Rabobank cannot be held responsible for any financial loss in case of possible future legislative amendments of the 30% tax ruling (if any). Financial consequences of these amendments will be for the account of the employee. Rabobank will not make any compensation in this respect.



- f. In case you are on assignment to the Netherlands as an expat under the International Assignment Policy (no local hire), the restriction as under e. above is not applicable, except for the option to be treated as a partial non-resident tax payer of the Netherlands for your personal income from shares with a substantial interest and your personal income from assets and liabilities.
- g. Rabobank cannot be held responsible for any retroactive amendments of the ruling, due to corrections of your 30% tax ruling at your previous employer, on the orders of the Dutch tax authorities (if any; only possible applicable in case you were entitled to the 30% tax ruling at your previous employer).
- h. The employee has read and understands the content of the document '*Consequences of application of the 30% tax ruling at Rabobank*' and agrees with the consequences of the ruling.

Rabobank

Employee

Signature: 

Signature: 

V. Hendriksen
Lead Pay & Global Mobility

Name employee: Diego Antonio Grecco Ribeiro

Date: 24 February 2023

Date: 19/09/2024



Consequences of application of the 30% tax ruling at Rabobank

January 2021

30% Tax free allowance

As a result of the application of the 30% tax ruling, the gross agreed salary of the employee will be reduced according to the way described under a. in the Letter of Intent. As a compensation for this reduction of the gross salary, the employee will receive a tax free allowance of the employer equal to the gross reduction. This fixed tax free allowance should compensate the so called extraterritorial costs as a result of the temporary stay of the employee in the Netherlands. Extra territorial costs are the extra costs that employees who are hired from abroad are confronted with as a result of their move to the Netherlands. Examples of extra territorial costs are: Costs of Living, medical checks, double housing, storage costs, extra tax returns, a Dutch language course, etc. The fixed tax free allowance is deemed to include all these extra territorial costs of the employee. For example a Dutch language course are extra territorial costs and are already deemed to be included in the 30% tax free allowance. As a result and to avoid a double tax free allowance, a Dutch language course cannot be claimed via the so called 'Ontwikkelsbudget', but must be paid by the employee himself.

In case all actual extra territorial costs of the employee are higher than the fixed amount, these actual costs can be reimbursed tax free. These actual extraterritorial costs must be substantiated by both employer and employee then. However, in case only some actual extra territorial costs are reimbursed as a benefit in kind (for example double housing costs), then these actual extra territorial costs can be reimbursed tax free, but are deemed to be included in the total 30% tax free allowance.

Salary norm

As described under d. of the Letter of Intent, the taxable salary should at least be the minimum of the annually indexed amounts of article 10eb of the Wage Tax Implementation Decree. For example, in 2021, the minimum taxable amount for employees of 30 years and older is € 38,961. For employees younger than 30 years with a master degree, the minimum taxable amount is € 29,616.

As a result, in case the initial agreed gross salary does not exceed € 55,659 respectively € 42,309 (after deduction of the employee's own pension premiums), the employee cannot receive the full 30% tax free reimbursement, but a percentage between 0 and 30 only, depending the employee's salary.

The basis for the initial agreed gross salary is: regular monthly salary, holiday allowance, 13th month, employee's own pension contribution. The Employee Benefit Budget is not taken into account for the determination of the percentage of the tax free reimbursement. The calculation of the percentage of the tax free reimbursement will be made at the beginning of the year and is applied during the rest of the year. Any salary raise during the year will not result in an amended percentage. However, in case of a



salary decrease - for example as a result of unpaid leave during the year – the percentage may be amended (lowered) in order to remain compliant with tax legislation. Moreover, in case the employee no longer meets the above mentioned salary norm, the 30% ruling will be withdrawn and will no longer be applied.

In case of a local (gross) contract, the tax benefit of application of the 30% tax ruling is for the account of the employee. In case of an assignment/expat (net) contract, the tax benefit of application of the 30% tax ruling is for the account of the employer.

Illness and incapacity

The following entitlements are based on the reduced (gross) salary, therefore excluding the 30% tax-free allowance:

- Continued payment of salary in the first and second years of illness;
- The supplement to the so-called WAO (Incapacity Benefit Act) and WIA (Work and Income according to Labour Capacity Act) entitlements as determined in the Collective Labour Agreement;
- The incapacity to work pension.

If the employee does not perform activities, the 30%-tax-free allowance will no longer apply after the first year of illness. If the employee (partially) performs activities in the second year of illness, the 30% tax-free allowance will only remain applicable upon the salary that is earned due to resumption of work. The 30% tax-free allowance will also only remain applicable upon the salary that is earned due to resumption of work after the second year of illness. The 30% tax-free allowance will however not be applied to WAO or WIA entitlements, supplements to these entitlements and incapacity to work pensions, since the 30% tax ruling is only applicable to income from current employment. The 30% tax ruling is not applicable to income from a previous employment (e.g. entitlements regarding incapacity to work, pension payments, severance payments, et cetera).

Building up of pension

Pension is built up on the 30% tax-free allowance as well. As a result, pension will be build up on 100% of the originally agreed salary.

Other employment conditions

The following (income related) employment conditions/benefits are based on the 100% initial agreed (gross) salary:

- Holiday allowance
- 13th month allowance
- Employee Benefit budget
- Cost of refurbishing
- Taxable portion of the service allowance
- Employee mortgage interest compensation



Subsequently, the 30% tax-free allowance is also applicable to these above salary emoluments.

The following (income related) employment conditions/benefits are only based on the reduced (taxable) salary:

- Collective accident insurance.

The following (income related) employment conditions/benefits are only based on the 100% initial agreed (gross) salary:

- Death benefit
- Survivor's pension.

Wage from previous/former employment

The 30% tax ruling is not applicable to wage from previous/former employment, such as:

- Redundancy payments
- Pension payments
- Subsequent payments, unless paid ultimately in the month following the month the employment ended.

Partial non-residency status

The employee – in case he will be considered a resident taxpayer of the Netherlands – has the option to be treated as a partial non-resident taxpayer as a result of the 30% tax ruling. This means that he will be taxed for his worldwide employment income as a resident taxpayer of the Netherlands, but for his income from shares with a substantial interest and for his income from assets and liabilities, he will be treated as a non-resident taxpayer of the Netherlands. As a result, Dutch taxation on for example worldwide bank- and savings accounts, shares and non-Dutch real estate will not be effectuated.

Leaving Rabobank

Finally, for completeness sake, we inform you of the following. In case you leave Rabobank in the future for any reason, whilst your 30% tax ruling is still applicable, it may be possible to transfer your 30% tax ruling to your new employment. One of the conditions for such transfer is that you have found a new employment within 3 months after ending your Rabobank employment. It is your own responsibility to further investigate the requirements at that time and any possible (tax and financial) consequences with respect to your 30% tax ruling are for your own account, should you leave Rabobank in the future.